Everybody Loves A Good Story

HUMANS HAVE A long and venerable history of narrative storytelling. Our ability to speak emerged 50,000–100,000 years ago, when the only way to share knowledge was verbally, person to person, generation to generation.

Storytelling shared important information: When certain animals were around for hunting, what poisonous snakes to avoid, which mushrooms not to eat, when to plant crops, when seasons changed, how to avoid dangerous weather, and more. Good narratives kept you alive; good stories were easy to remember and share.

It is in our DNA to love a good story: Tales with heroes and villains and conflicts to resolve. A great story is exciting and memorable, pushing our emotional hot buttons and resonating with us.

The idea of narrative fallacy—the term was actually coined by Nassim Taleb in *The Black Swan*—applies to pretty much everything. Danny Kahneman explains it in *Thinking, Fast and Slow*:

> Flawed stories of the past shape our views of the world and our expectations for the future. Narrative fallacies arise inevitably from our continuous attempt to make sense of the world. The explanatory stories that people find compelling are simple; are concrete rather than abstract; assign a larger role to talent, stupidity, and intentions than to luck; and focus on a few striking events that happened rather than on the countless events that failed to happen. Any recent salient event is a candidate to become the kernel of a causal narrative.

It should be no surprise that financial types also love a good story. When Wall Street spins a yarn, it is an emotional sales pitch designed to separate you from your money. Brokers *adore* what we once called “story stocks.” You’ve heard the pitch: A new CEO is going to turn a company around; an